Interest rates, inflation and political pressure: the Federal Reserve's monetary policy dilemma

The new Federal Reserve Chair Kevin Warsh intends to continue with his plans to decrease interest rates despite backlash from over government representatives fear of the already spiking inflation. Warsh calls these debates with politicians "family fights", where they argue and discuss potential policies behind closed doors. Warsh shares Donald Trump's stance on the US economy's inflation, stating it is a temporary surge due to the war in Iran, however this stance is becoming increasingly difficult to defend as the inflation rate is now at multi-year highs.

By decreasing interest rates, the cost of borrowing for consumers has decreased, thereby leading to increased aggregate demand (AD), which in essence is demand-pull inflation. This will lead to a new, increased equilibrium point between AD and short run aggregate supply (SRAS), causing rising price levels despite short term economic growth. The US already has one of the highest income inequalities, with growing inflation the standard of living for the lower quartile of earners will decrease, amplifying the gap in wage. By decreasing interest rates, the real value of your savings will also decrease. This is due to the rate of inflation surpassing the rate of interest meaning that your savings purchasing power decreases at a quicker rate than the value increases.

Due to these possible effects of a decreasing interest rates, Warsh faces pressure to implement them as when Trump nominated him for chair he did so with the express reason to lower interest rates. If he doesn't carry this change out, it is likely to cause friction between Warsh and Trump, equivalent to his predecessor outgoing Chair Jerome Powell which saw historical levels of conflict.